



SUSTAINABLE FINANCE IN THE GREEN ECONOMY

(From left)

Siddharth Zarabi with

Ankur Khurana, MD, Corporate, Commercial and Institutional Banking, India, Standard Chartered Bank

Vineet Rai,

Founder and Managing Partner, Aavishkaar Capital

» Indian exports will be badly impacted if India Inc. doesn't comply with green requirements to tap into green and sustainable financing even as western nations come up with carbon taxes to keep their own corporates competitive

» Western corporates are becoming uncompetitive as Europe cracks down on them and imposes carbon taxes that will hit Indian firms as well

» The government has woken up to the changing green and sustainability demands of the world. For example, the

Indian green hydrogen policy is aimed at the big corporates, but it's also an expensive proposition

» India alone needs \$7.5 trillion by 2070 to finance its net zero target, and about \$170 billion currently, of which around \$44 billion can be sourced domestically, while around 13 per cent has to come from overseas sources

» The focus of green financing is now about whether businesses, irrespective of the sector they operate in, have a transition plan to become green and sustainable



BANKING IN AN ERA OF UNCERTAINTY

Sourav Majumdar (left) with

K.V. Kamath, Chairman, National Bank for Financing Infrastructure and Development

» India is entering a territory defined by tech and the country's ability to leverage that will make all the difference, especially for rural India. Affordability will be a key growth factor in the future

» Conventional wisdom says to adjust interest rates during inflation, but last year, the West didn't do that. The concept of inflation and interest rates is under re-examination and in the new economic theory being written, inflation and interest rates don't go hand in hand

» The central government addressed what could be the challenges due to inflation

and it helped everyone. Interest rates being low in India in the past meant that the corporate world benefitted. Now it means that consumer credit is keeping pace with corporate lending

» India is a better performer because we are growing on top of digital; we have clean balance sheets in corporate and banking; our debt-to-equity ratio has improved; and ground conditions for growth have matured

» There's no threat from China to India's financial system. Competition in manufacturing has been taken care of by appropriate policies by the government